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Disruptions to foreign trade and US banks' returns☆

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ABSTRACT

We study whether bank loan portfolios help explain differences in their stock returns during major disruptions to foreign trade. Using stock market reactions during the 2018 U.S.-China trade war and the April 2025 tariff announcements, we identify industries that are systematically vulnerable and resilient to trade disruptions. We then combine these classifications with confidential supervisory lending data to construct a measure of trade exposure for large U.S. banks. We find that banks with greater exposure experienced significantly larger stock price declines following the April 2025 tariff announcements.

1. Introduction

The growing frequency and severity of geopolitical tensions have heightened concerns about the consequences of disruptions to foreign trade. Yet identifying which firms are most exposed to such disruptions remains challenging. Trade shocks can affect firms through multiple channels, including declines in foreign sales, higher costs of imported inputs, supply-chain disruptions, and broader macroeconomic spillovers. Because many of these channels are difficult to quantify directly, conventional measures of trade exposure often provide a partial view of firms' vulnerability to disruptions in foreign trade.[1]

We use stock market reactions during major trade-policy shocks to identify industries that are systematically vulnerable and resilient to disruptions in foreign trade. Our approach relies on the idea that, during periods dominated by unexpected trade-policy developments, cross-sectional differences in stock returns reveal investors' assessments of firms' exposure to such disruptions. We use information from two major trade-policy episodes — the 2018 U.S.-China trade war and the April 2025 tariff announcements — to classify industries according to their abnormal returns during both episodes.

We then combine these classifications with granular confidential supervisory data on large U.S. banks' corporate lending to study how disruptions to foreign trade affect the U.S. banking system. We use the composition of banks' loan portfolios to construct a bank-level measure of net trade exposure, defined as the share of lending to vulnerable industries minus the share of lending to resilient industries. Intuitively, banks with greater lending to vulnerable industries face more adverse effects from trade disruptions, while lending to resilient industries may partially offset these effects.

Our main finding is that banks with greater exposure to trade-sensitive industries experienced significantly larger declines in their stock returns following the April 2025 tariff announcement. This relationship remains robust to alternative methods for measuring abnormal returns, different approaches to classifying industries as vulnerable or resilient, and a range of bank-level controls. Our results also hold when the analysis is restricted to a more homogeneous set of banks. Taken together, our findings suggest that information embedded in banks' loan portfolios helps explain cross-sectional differences in bank stock returns during major disruptions to foreign trade.

Our paper contributes to two strands of literature. First, we contribute to the growing literature that uses financial markets to measure firms' exposure to trade-policy shocks and other macroeconomic risks. By using stock market reactions to identify industries that are vulnerable and resilient to disruptions in foreign trade, we extend this approach beyond publicly traded firms and show how it can be used to study the transmission of trade shocks to the financial sector. Second,

☆ These are our views and do not necessarily reflect those of the Federal Reserve Board or Vanguard.

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[1] A growing literature shows that supply chains can play an important role in propagating shocks throughout the economy, affecting not only production processes but also firms' valuations (see, for example, Acemoglu et al. (2012), Oberfield (2018), Herskovic (2018), Gofman et al. (2020), Elliott et al. (2022), Buraschi and Tebaldi (2024), Ramírez (2024); among others). Restrictive trade policies can also generate broad recessionary forces, leading to declines in investment, wages, hours worked, consumption, and output (see, for example, Irwin (2012), Caldara et al. (2020), Fajgelbaum et al. (2020), Handley and Limão (2017)).

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we contribute to the literature on bank risk and financial stability by showing that the composition of banks' loan portfolios contains valuable information about their exposure to foreign trade disruptions. More broadly, our findings highlight how shocks originating outside the financial sector can affect banks through their corporate borrowers.[2]

2. Identifying trade-sensitive industries

Our objective is to study whether information embedded in banks' loan portfolios helps explain differences in their stock returns during major disruptions to foreign trade. Because we observe detailed data on banks' corporate lending, we can identify the borrowers to which each bank is most exposed. The key challenge, however, is determining which borrowers are vulnerable (or resilient) to such disruptions. To address this challenge, we use stock market reactions to major trade-policy shocks to identify industries that are systematically vulnerable (or resilient) to disruptions in foreign trade. These industry classifications provide the foundation for our bank-level exposure measure developed in the next section.

2.1. Using stock prices to proxy for foreign trade sensitivity

Because disruptions to foreign trade can affect firms through multiple channels, measuring their trade exposure is inherently difficult. While some firms are directly exposed through their reliance on foreign markets, others may be affected indirectly through their supply chains or the broader recessionary consequences of such disruptions. We therefore resort to information embedded in stock prices to infer firms' exposure. As information aggregators (Grossman, 1989), stock prices incorporate investors' assessments of how trade-policy shifts affect firms' growth opportunities. During periods dominated by trade-policy developments, differences in stock returns should reflect differences in firms' exposure to trade disruptions.[3] By aggregating information about firms' operations, supply chains, and financial conditions — much of which is difficult to observe — stock prices provide a useful proxy for firms' overall sensitivity to disruptions in foreign trade.

To illustrate this idea, consider the April 2025 tariff announcements —a large, salient, and clearly identifiable disruption to foreign trade. Between April 2 and April 8, the S&P 500 declined around 12 percent, one of the largest short-term contractions of the last three decades.[4] Importantly, such decline was accompanied by substantial dispersion in stock returns across firms and industries, as shown in Fig. 1. If stock prices contain information about firms' exposure to trade disruptions, firms that performed particularly poorly during this episode should exhibit characteristics associated with greater trade sensitivity. Consistent with this prediction, Table 1 shows that firms experiencing larger declines in returns relied more heavily on foreign sales. Notably, they are also characterized by higher leverage and lower interest coverage ratios. These findings suggest that stock returns contain economically meaningful information about firms' differential exposure to trade disruptions.[5]

Table 1
Stock returns and trade-sensitivity of US public firms.
Data source: Center for Research in Security Prices, CRSP/Compustat Merged Database, Wharton Research Data Services, http://www.whartonwrds.com/datasets/crsp/.

	(1)	(2)
Leverage	−0.042***	−0.029***
	(0.007)	(0.007)
High ICR Dummy	0.010***	0.009***
	(0.003)	(0.003)
Fraction of Foreign Sales	−0.027***	−0.024***
	(0.007)	(0.007)
Industry FE	Yes	Yes
Controls for Returns of Prior 12-months, Returns of March 2025, and Market Beta	No	Yes
Observations	2532	2532
R^2	0.144	0.166

Note: Using data of US public firms from April 3–8, 2025, this table reports the results of regressions of cumulative stock returns on a set of explanatory variables. Explanatory variables considered in both columns include: log of the market capitalization; log of book-to-market; leverage, measured by debt divided by assets; a dummy variable for high interest coverage ratio (ICR), defined as the ratio of earnings before interest and taxes to interest payments (high ICR firms are in the top 20% of the ICR distribution); the share of revenues from foreign sales (Fraction of Foreign Sales); and a dummy variable for missing values of foreign sales. The regression specification in column (2) also includes prior 12-month returns excluding March 2025; March 2025 returns; and market beta. Both regressions include Industry Fixed Effects. Standard errors are reported in parentheses. *** and ** indicate statistical significance at the 1% and 5% levels, respectively.

2.2. From stock returns to industry classifications

Because many borrowers in our lending data are private institutions, restricting the analysis to publicly traded firms would provide a partial view of banks' exposure to trade disruptions. We therefore aggregate borrowers into industries using the Fama–French classification, which allows us to extend stock price information to a broader set of borrowers while preserving meaningful industry differences. Compared with other disaggregated classifications (SIC or NAICS), Fama–French industries provide a more parsimonious grouping. An additional advantage is that return information is readily available for Fama–French industries, allowing us to rank industries according to their (abnormal) performance during trade-policy shocks.

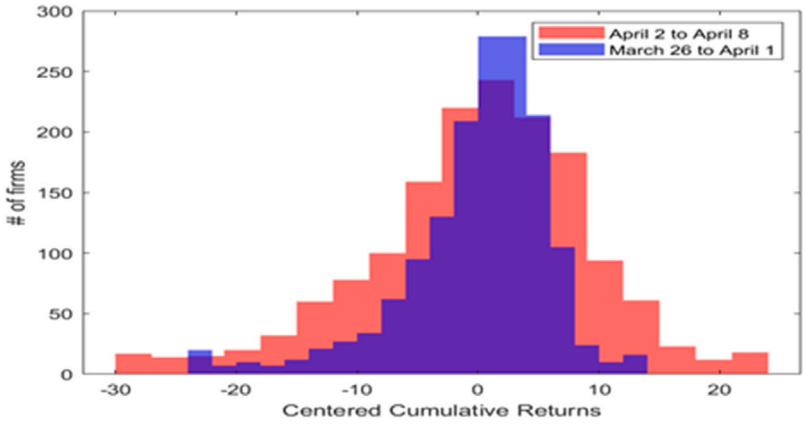
This approach is not without limitations. Private firms may behave differently (Sheen, 2020) and be more exposed to trade disruptions than their publicly traded counterparts, as they are more likely to be financially constrained and less able to absorb adverse shocks from foreign trade disruptions. Industry classifications derived from publicly traded firms may therefore understate the exposure of some private borrowers. Accordingly, the resulting bank-level exposure measure developed in the next section should be interpreted as a conservative proxy for banks' true exposure to foreign trade shocks.

[2] Recent work examines how trade policy shocks affect firm performance (Ignatenko et al., 2025) and how global supply chains shape financing needs (Alfaro et al., 2025). Greenland et al. (2024) shows equity market reactions comprehensively measure firm exposure to trade policy changes, capturing direct and indirect channels without detailed supply chain data. While they focus on firm-level responses to trade liberalization, we extend this market-based approach to quantify banks' indirect exposure through loan portfolios. Other studies show how trade policy uncertainty (Correa et al., 2024) and supply chain risk (Morgan et al., 2026) can affect bank lending, while broader economic uncertainty and trade liberalization can reshape credit supply—see, Wu and Suardi (2021) and Federico et al. (2025). Our approach also complements text-based measures of trade policy exposure from conference calls (Hassan et al., 2019). By linking our exposure measure to supervisory bank data, we bridge the literature on trade policy shocks and bank risk/financial stability.

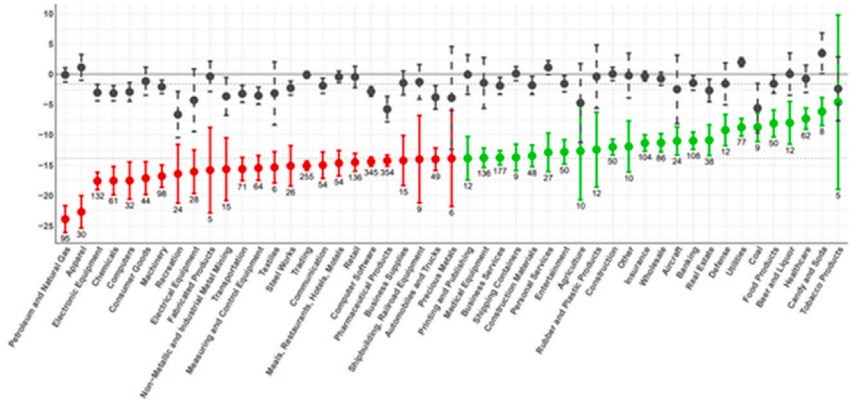
[3] Our approach is supported by Schmalz and Zhuk (2019), who show that stock prices respond more strongly to news during market downturns, allowing firms' risk exposures to be more clearly revealed.

[4] See Section 2 in the Online Appendix for more details.

[5] Table 1 also considers several common control variables used in asset pricing. Notably, as shown in Subsection 2.1 of the Online Appendix, more cyclical firms (higher market betas) suffered larger losses, while size differences are only marginally significant. High book-to-market firms — typically characterized by weaker performance, lower profitability, higher leverage, and greater uncertainty (Griffin and Lemmon, 2002) — experienced more pronounced declines. Positive momentum persisted: firms with higher prior 12-month returns outperformed. Finally, firms with higher March 2025 returns also performed better. Although short-term reversals are common (Jegadeesh, 1990), trade-related news had already affected markets in March, and resilient firms continued outperforming after the April 2 announcement.



(a) 4-day S&P500 returns distribution



(b) Industry-level 4-day return distribution

Fig. 1. 4-day S&P500 returns.
Note: Panel A depicts the distribution of demeaned four-day cumulative stock returns for all publicly listed firms over the periods March 26-April 1, 2025, and April 2–8, 2025. Panel B reports cumulative returns over the five business days from April 3–8, 2025, for each of the 49 Fama–French industries. For each industry, the figure reports the number of constituent firms, the average cumulative return (dots), and the 5th and 95th percentiles of cumulative returns (bars). The dashed line indicates the median industry return over this period. Industries with post-April 2 returns below the median are shown in red, while those above the median are shown in green. For comparison, the black markers report cumulative four-day returns for the period ending on April 2, 2025 (i.e., the four business days up to and including April 2), for each of the 49 Fama–French industries. (For interpretation of the references to color in this figure legend, the reader is referred to the web version of this article.)
Source: Center for Research in Security Prices, CRSP Database, Wharton Research Data Services, http://www.whartonwrds.com/datasets/crsp/.

2.3. Uncovering vulnerable and resilient industries

To ensure our industry classification is not driven by a single episode, we complement the information from the April 2025 tariff announcements with information from a closely related trade-policy shock: the 2018 U.S.-China trade war.[6] Combining industry returns from both episodes enables us to identify industries that consistently outperform or underperform during major disruptions to foreign trade, thereby revealing systematic differences in their sensitivity to such disruptions.

To control for market risk, time-varying risk premia, and concurrent macroeconomic news, we classify industries using their abnormal cumulative returns. For each episode s — either the 2018 trade war or the April 2025 tariff announcements — we estimate:

$$r_{i,s} = \alpha_s + \rho_s \beta_{i,s} + \varepsilon_{i,s}, \tag{1}$$

where $r_{i,s}$ denotes the cumulative return of industry i during episode s, and $\beta_{i,s}$ is industry i's market beta estimated over a pre-event window. The residual $\varepsilon_{i,s}$ captures industry i's performance relative to what would be expected given its historical market sensitivity, which we interpret as its abnormal performance during episode s.

With these measures of abnormal performance in hand, Fig. 2 summarizes our classification procedure. Each point represents one of the 49 Fama–French industries. The horizontal axis shows abnormal cumulative returns during the 2018 trade-war, while the vertical axis shows abnormal cumulative returns during the April 2025 episode. Values are demeaned within each episode so positive numbers indicate above-average performance and negative values indicate below-average performance. Industries performing below average in both episodes are classified as vulnerable to trade disruptions; those performing above average in both episodes are classified as resilient. By requiring industries to exhibit similar behavior across both episodes, our classification identifies trade sensitivity as a systematic rather than an episode-specific characteristic.

[6] Section 3 of the Online Appendix provides additional details on the 2018 U.S.-China trade war. Amiti et al. (2024) documents that the U.S. stock market declined by 11.5 percent across eleven major tariff announcements during 2018–2019, corresponding to a $4.1 trillion loss in market capitalization. Building on their analysis, we focus on four trading days in late 2018 during which market participants identified escalating trade tensions as the primary driver of market declines. These dates are October 10, November 12, November 20, and December 4, 2018, when the S&P 500 fell by 3.3 percent, 2.0 percent, 1.8 percent, and 3.2 percent, respectively.

Number	Industry
Has Strengthened	
24	Aircraft
8	Printing and Publishing
7	Entertainment
26	Defense
12	Medical Equipment
49	Almost Nothing
43	Retail
Resilient	
45	Banking
4	Beer & Liquor
18	Construction
29	Coal
13	Pharmaceutical Products
2	Food Products
35	Computers
11	Healthcare
9	Consumer Goods
46	Insurance
44	Restaurants, Hotels, Motels
39	Business Supplies
33	Personal Services
5	Tobacco Products
3	Candy & Soda
36	Computer Software
19	Steel Works Etc
32	Communication
42	Wholesale

Number	Industry
Has Weakened	
23	Automobiles and Trucks
40	Shipping Containers
14	Chemicals
22	Electrical Equipment
48	Trading
27	Precious Metals
38	Measuring and Control Equipment
6	Recreation
16	Textiles
31	Utilities
Vulnerable	
1	Agriculture
17	Construction Materials
34	Business Services
37	Electronic Equipment
10	Apparel
20	Fabricated Products
21	Machinery
28	Non-Metallic and Industrial Metal Mining
30	Petroleum and Natural Gas
47	Real Estate
15	Rubber and Plastic Products
25	Shipbuilding, Railroad Equipment
41	Transportation

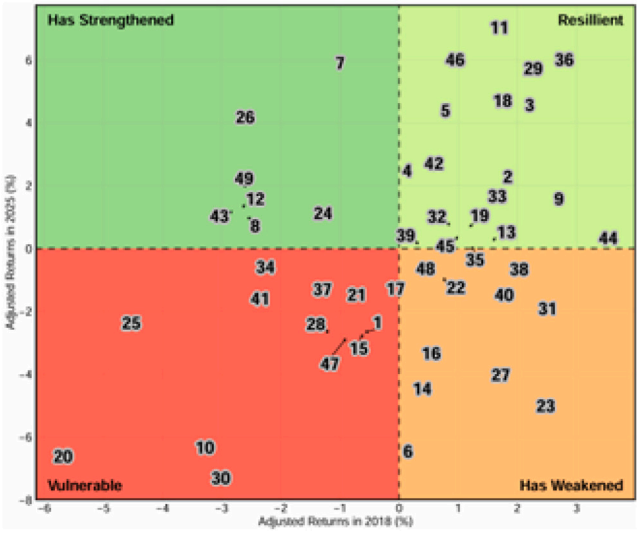


Fig. 2. Trade-Sensitive Industries.
Note: This figure reports adjusted cumulative equity returns of publicly listed firms grouped by the 49 Fama–French industries. The horizontal axis shows cumulative adjusted returns during four 2018 days identified as market reactions to trade disruptions (see footnote 6). The vertical axis shows returns during April 2–8, 2025. Both axes are demeaned by the cross-sectoral average. Dashed lines divide quadrants: Vulnerable (lower-left), Resilient (upper-right), Has Weakened (lower-right), and Has Strengthened (upper-left).
Source: CRSP via Wharton Research Data Services.

3. How do trade disruptions affect bank returns?

Having identified industries that are vulnerable and resilient to foreign trade disruptions, we next study whether banks exposed to these industries experienced larger stock price declines during the April 2025 tariff announcements. To do so, we use confidential supervisory loan-level data from FR Y-14Q Schedule H.1, which allow us to observe the corporate borrowers of large U.S. banks at a quarterly frequency.

With these industry classifications in hand, we construct a bank-level measure of trade exposure based on the composition of each bank's loan portfolio. Our baseline measure, which we refer to as net trade exposure, is defined as the share of a bank's credit commitments to vulnerable industries minus the corresponding share to resilient industries:

$$\text{exposure}_b = \frac{C_b^V}{C_b} - \frac{C_b^R}{C_b}, \tag{2}$$

where C_b^V denotes bank b's credit commitments to vulnerable industries, C_b^R denotes its credit commitments to resilient industries, and C_b denotes its total credit commitments. All values are measured as of 2025Q1, prior to the April 2025 tariff announcements.

Intuitively, a bank is more exposed to trade disruptions if a larger share of its lending is concentrated in vulnerable industries, while lending to resilient industries may partially offset this exposure. By accounting for both vulnerable and resilient industries, our measure provides a more comprehensive characterization of banks' sensitivity to trade disruptions than a measure based solely on lending to vulnerable industries.

With these bank-level measures in hand, we estimate cross-sectional regressions relating banks' cumulative stock returns during the April 2025 event to their pre-existing net trade exposure:

$$r_b = \alpha + \beta \times \text{exposure}_b + \text{controls}_b + \varepsilon_b, \tag{3}$$

where r_b denotes bank b's cumulative return during the April 2025 episode and exposure_b denotes its net trade exposure. The coefficient β captures whether banks with greater exposure to trade-sensitive industries experienced larger valuation declines. Identification comes from cross-sectional differences in banks' pre-event loan portfolio composition.

Table 2 reports our main results. Results are organized into three panels that differ in how abnormal returns are measured before classifying industries into vulnerable or resilient to trade disruptions. Panel A reports our baseline specification, which uses the market beta adjustment described earlier. Panel B instead uses a CAPM risk adjustment approach, where abnormal returns are defined relative to the returns predicted by industries' exposure to the market portfolio. Finally, Panel C uses a Fama–French three-factor adjustment, which additionally accounts for differences in industries' exposure to the size and value factors. These alternative approaches aim to assess whether our results depend on the method used to isolate industry-specific performance during trade shocks.

Without considering other bank characteristics, column (1) of each panel tests whether banks more exposed to trade-sensitive borrowers experienced larger stock price declines. In all cases, the coefficient on net trade exposure is negative and statistically significant.

A natural concern is that the above relationship reflects differences in banks' financial condition rather than their trade exposure. To address this concern, columns (2)–(4) control for two key measures of banks' financial resilience: the Tier 1 capital ratio, which captures loss-absorbing capacity, and the HQLA ratio, which measures the availability of liquid assets. Reassuringly, the estimated effect of trade exposure remains economically and statistically significant after controlling for both banks' capitalization and liquidity.

A second concern is that trade exposure may proxy for broader systematic risk. Banks that lend heavily to trade-sensitive industries may have higher market betas and therefore experience larger stock-price declines whenever aggregate risk increases. To examine this idea, we first regress banks' market betas on our exposure measure:

$$\beta_b = \alpha + \mu \times \text{exposure}_b + \epsilon_b \tag{4}$$

where β_b denotes bank b's market beta estimated using a long window immediately preceding Liberation Day. As shown in Table 3, banks with greater exposure to trade-sensitive industries exhibit higher systematic risk, suggesting that trade exposure is an important component of the overall systematic risk captured by market beta.

In light of the above result, controlling directly for raw market beta in Eq. (3) could absorb part of the trade-exposure channel we seek to measure. We therefore construct a *Residual Bank Beta*, defined as ϵ_b in

Table 2
Bank returns and trade exposure.

Full sample								
Panel A: Market Beta-Adjusted Industry Returns								
Dependent Variable: Bank Return	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
Net Trade Exposure	−0.188***	−0.189***	−0.193***	−0.193***	−0.189***	−0.189***	−0.196***	−0.195***
	(0.052)	(0.053)	(0.053)	(0.054)	(0.048)	(0.048)	(0.048)	(0.049)
Tier 1 Capital Ratio		0.049		0.016		0.085		0.030
		(0.164)		(0.183)		(0.151)		(0.165)
HQLA Ratio			−0.067	−0.061			−0.118	−0.109
			(0.126)	(0.141)			(0.116)	(0.129)
Residual Bank Beta					−0.071**	−0.073**	−0.077**	−0.077**
					(0.031)	(0.031)	(0.031)	(0.032)
R^2	0.340	0.361	0.366	0.366	0.480	0.488	0.503	0.504
N	27	26	26	26	26	26	26	26
Panel B: CAPM-Adjusted Industry Returns								
Dependent Variable: Bank Return	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
Net Trade Exposure	−0.107*	−0.292***	−0.179***	−0.292***	−0.166***	−0.265***	−0.184***	−0.264***
	(0.053)	(0.058)	(0.057)	(0.059)	(0.048)	(0.056)	(0.049)	(0.057)
Tier 1 Capital Ratio		0.630***		0.629***		0.498**		0.461**
		(0.180)		(0.193)		(0.182)		(0.200)
HQLA Ratio			−0.122	−0.001			−0.158	−0.058
			(0.136)	(0.120)			(0.118)	(0.116)
Residual Bank Beta					−0.082***	−0.054*	−0.085***	−0.057*
					(0.029)	(0.028)	(0.029)	(0.029)
R^2	0.138	0.529	0.302	0.529	0.463	0.599	0.503	0.603
N	27	26	26	26	26	26	26	26
Panel C: Fama–French 3-Factor Adjusted Industry Returns								
Dependent Variable: Bank Return	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
Net Trade Exposure	−0.116*	−0.300***	−0.192***	−0.301***	−0.174***	−0.273***	−0.196***	−0.274***
	(0.056)	(0.061)	(0.060)	(0.062)	(0.050)	(0.058)	(0.052)	(0.059)
Tier 1 Capital Ratio		0.610***		0.597***		0.481**		0.436**
		(0.180)		(0.192)		(0.178)		(0.192)
HQLA Ratio			−0.136	−0.027			−0.169	−0.080
			(0.137)	(0.122)			(0.118)	(0.115)
Residual Bank Beta					−0.082***	−0.057**	−0.085***	−0.061**
					(0.029)	(0.027)	(0.028)	(0.028)
R^2	0.144	0.517	0.307	0.518	0.467	0.600	0.513	0.609
N	27	26	26	26	26	26	26	26

Notes: This table reports cross-sectional regressions of bank stock returns during the Liberation Day tariff announcement window (April 2–8, 2025) on banks' net trade exposure. Net trade exposure is measured as the difference between loan portfolio shares to trade-vulnerable and trade-resilient industries. Panel A uses market beta-adjusted industry returns, Panel B uses CAPM-adjusted industry returns, and Panel C uses Fama–French three-factor adjusted industry returns. Columns (2)–(4) add balance-sheet controls (Tier 1 capital ratio and HQLA ratio). Columns (5)–(8) additionally include residualized bank beta, constructed as the residual from regressing bank beta on net trade exposure. Standard errors are reported in parentheses. *** $p < 0.01$, ** $p < 0.05$, * $p < 0.10$.

Table 3
Residualization of bank beta.

Panel in Table 2	μ	SE	R^2
Market-Beta Adjustment	1.167***	(0.316)	0.362
CAPM Adjustment	0.983***	(0.339)	0.260
Fama–French 3-Factor Adjustment	0.997***	(0.360)	0.243

Note: This table reports the results of a regression of banks' market betas on a bank measure of net trade exposure (Eq. (4)). For each regression, we use a different classification of trade vulnerability based on the baseline market beta adjustment, a CAPM risk adjustment, and a Fama–French three-factor adjustment, respectively. Standard errors are reported in parentheses. *** and ** indicate statistical significance at the 1% and 5% levels, respectively.

Eq. (4). Intuitively, ϵ_b is the component of a bank's market beta that is orthogonal to net trade exposure. Columns (5)–(8) in Table 2 augment the baseline specification in Eq. (3) with this residual beta, alongside the balance-sheet controls discussed above.

As Table 2 shows, the coefficient on net trade exposure remains negative and statistically significant across all specifications, risk-adjustment methodologies, and controls. The residual bank beta is also statistically significant, with higher R^2s across specifications, suggesting that bank returns were also driven by other dimensions of systematic risk beyond our trade exposure proxy.

Two important questions naturally arise. First, how can information contained in confidential lending data be reflected in bank stock prices? Although investors are unlikely to observe the exact mapping between banks and their borrowers, they may still possess meaningful information about banks' industry-level lending exposures. Recent evidence shows that large U.S. banks tend to specialize in lending to a relatively small set of industries (Blickle et al., 2026). It is therefore plausible that investors can infer banks' broad industry exposures from publicly available information, even if the underlying borrower-level lending relationships remain confidential.

Second, do our findings simply reflect differences in banks' business models rather than their exposure to trade-sensitive borrowers? To address this concern, we re-estimate Eq. (3) using only U.S. domestic commercial banks. As shown in Appendix 5, Table 4, our results remain qualitatively unchanged, suggesting that our findings are not driven by foreign-bank subsidiaries or other financial institutions with business models that differ from those of traditional U.S. commercial banks.

Taken together, our results suggest that information embedded in banks' loan portfolios helps explain differences in their stock returns during major disruptions to foreign trade. Banks with greater exposure to vulnerable industries experience larger declines in their equity values when such disruptions materialize.

4. Conclusion

We study whether information embedded in banks' loan portfolios helps explain their differences in stock returns during major disruptions to foreign trade. We first use stock market reactions during the 2018 U.S.-China trade war and the April 2025 tariff announcements to identify industries that are systematically vulnerable and resilient to trade disruptions. We then combine these classifications with granular supervisory lending data to construct a bank-level measure of exposure to foreign trade disruptions.

We find that banks with greater exposure to trade-sensitive industries experienced significantly larger declines in equity values during the April 2025 tariff-announcement episode. This relationship remains robust to alternative methods for measuring abnormal industry returns, different industry-classification schemes, and a range of bank-level controls. Taken together, our findings suggest that bank loan portfolios provide a useful lens for identifying which banks are most exposed to foreign trade disruptions.

Declaration of competing interest

The authors declare that they have no known competing financial interests or personal relationships that could have appeared to influence the work reported in this paper.

Appendix A. Supplementary data

Supplementary material related to this article can be found online at https://doi.org/10.1016/j.econlet.2026.113259.

Data availability

The bank-level data used in this paper are confidential supervisory loan-level data from FR Y-14Q Schedule H.1.

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